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STRATEGIC ANALYSIS - INTERNAL ENVIRONMENT

SESSION 3

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OUTLINE

- Resource-Based View (RBV) of strategy
- VRIO framework for resource analysis
- Value chain analysis
- Core competencies and dynamic capabilities
- SWOT analysis integration

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INTRODUCTION TO INTERNAL STRATEGIC ANALYSIS

- Internal analysis explores what a firm does well and what assets it controls.
- Focuses on resources, capabilities, and competencies.
- Complements external analysis by identifying core internal strengths.
- Critical for aligning firm capabilities with environmental opportunities.
- Informs decisions about resource allocation, investment, and strategy.
- Provides the foundation for sustained competitive advantage.

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RESOURCE-BASED VIEW (RBV) - OVERVIEW

- RBV argues competitive advantage comes from internal firm resources.
- Assumes resources are heterogeneous and imperfectly mobile.
- Resources must be valuable, rare, inimitable, and organized (VRIO).
- Shifts the focus from market positioning to firm capabilities.
- Encourages strategic investment in building unique resource sets.
- Example: Amazon’s unique logistics and data infrastructure.

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VRIO FRAMEWORK INTRODUCTION

- VRIO: A tool to analyze strategic potential of internal resources.
- V – Valuable: Does the resource help the firm stay competitive?
- R – Rare: Is it owned by only a few competitors?
- I – Inimitable: Is it difficult for others to copy?
- O – Organized: Is the firm structured to exploit this resource?
- VRIO helps identify which assets truly drive long-term success.

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APPLYING VRIO TO AMAZON-AN EXAMPLE

- V: Customer trust and data systems enhance experience.
- R: Brand recognition and loyalty are hard to replicate.
- I: Fulfillment networks and recommendation engines are unique.
- O: AWS and retail operations support rapid scaling.
- Together, these resources position Amazon for sustainable advantage.
- Reinforces how internal strengths drive external dominance.

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CATEGORIES OF RESOURCES TO ASSESS WITH VRIO

- Tangible Assets: Warehouses, data centers, logistics fleets.
- Intangible Assets: Brand, IP, culture, proprietary software.
- Human Capital: Skills, expertise, leadership vision.
- Organizational Capabilities: R&D speed, customer service systems.
- Technological Resources: Automation, AI, platform architecture.
- Strategic Alliances: Ecosystem partnerships and global reach.

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VALUE CHAIN ANALYSIS

- Analyzes internal activities to understand value creation.
- Developed by Michael Porter to evaluate firm operations.
- Divides business into primary and support activities.
- Each activity is a potential source of cost advantage or differentiation.
- Helps uncover bottlenecks, inefficiencies, or competitive edges.
- Focus: Improve processes to enhance profitability and strategic fit.

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PRIMARY ACTIVITIES IN VALUE CHAIN

- Inbound Logistics: Receiving, warehousing, inventory control.
- Operations: Manufacturing, packaging, testing.
- Outbound Logistics: Order fulfillment, shipping, delivery.
- Marketing & Sales: Advertising, promotion, pricing strategies.
- Services: Customer support, repair, loyalty management.
- Integration across these activities creates consistent value flow.

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SUPPORT ACTIVITIES IN VALUE CHAIN

- Firm Infrastructure: Finance, planning, legal systems.
- HR Management: Talent acquisition, training, culture.
- Technology Development: Innovation, IT systems, R&D.
- Procurement: Vendor management, sourcing, cost negotiation.
- Support activities enhance efficiency and enable primary operations.
- When aligned strategically, support functions become core enablers.

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VALUE CHAIN CASE: AMAZON

- Amazon excels in both primary and support activities.
- Automated fulfillment centers optimize operations and logistics.
- Cloud systems support order tracking and personalization.
- Tech development through AWS fuels innovation firmwide.
- Procurement benefits from scale and supplier data insights.
- Outcome: Efficient, customer-centric service at scale.

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CORE COMPETENCIES

- A core competency is a unique capability that gives competitive edge.
- Often rooted in routines, knowledge, systems, or organizational culture.
- Must be valuable to customers, hard to imitate, and widely applicable.
- Provide basis for developing new products or entering new markets.
- Help firms maintain relevance and growth in changing environments.
- Examples: Apple's design culture; Toyota’s production system.

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CHARACTERISTICS OF CORE COMPETENCIES

- Not easily outsourced or replicated by competitors.
- Cross-functional in that they require collaboration across departments.
- Often tied to unique culture, leadership, or employee know-how.
- Drive innovation and adaptability over time.
- Example: Apple’s design and ecosystem integration across devices.
- Firms must continually nurture and protect these assets.

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DYNAMIC CAPABILITIES

- The firm’s ability to adapt, reconfigure, and renew resources.
- Essential for responding to technological change and market shifts.
- It may include pivoting business models, scaling innovation, strategic learning.
- Strong dynamic capabilities enable agility in uncertain environments.
- Encourages experimentation, speed, and ongoing capability upgrades.
- Amazon, Netflix, and Tesla all demonstrate strong dynamic adaptability.

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CULTIVATING DYNAMIC CAPABILITIES

- Start with scanning and learning systems (feedback, analytics).
- Empower teams to act on new data quickly.
- Invest in people and tools to foster innovation.
- Institutionalize experimentation and agility.
- Monitor competitors, but don’t copy adapt uniquely.
- Benchmark against best-in-class, not industry average.

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DIMENSIONS OF DYNAMIC CAPABILITIES

- Sensing: Ability to detect opportunities and threats (e.g., data analysis, customer insights).
- Seizing: Mobilizing resources to capture emerging value (e.g., investing in AWS early).
- Transforming: Reconfiguring assets and culture to remain competitive.
- These steps help firms avoid stagnation and become industry shapers.
- Execution depends on both strategic leadership and operational flexibility.
- Innovation and reinvestment are essential drivers.

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AMAZON'S DYNAMIC CAPABILITY PLAYBOOK

- Constant reinvention (e.g., Kindle, Alexa, AWS).
- Vertical integration of supply chains to reduce dependency and cost.
- Heavy R&D spending despite early financial losses.
- Rapid scaling while maintaining service quality.
- Strong data utilization for decision-making and personalization.
- Willingness to disrupt own offerings to stay ahead.

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CASE TIE-IN: AMAZON VS. E-COMMERCE RIVALS

- Rivals like Pets.com and Webvan focused only on market timing and branding.
- Amazon invested in core logistics, warehousing, and customer systems.
- Early losses were strategic bets on long-term infrastructure.
- Amazon passed the VRIO test: valuable, rare, hard to imitate, and organized.
- Case supports the Resource-Based View (RBV) strongly.
- Amazon’s internal strengths were aligned with emerging digital market trends.

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SWOT ANALYSIS

- Integrates internal and external viewpoints for a holistic strategy snapshot.
- Strengths and Weaknesses are internal (from VRIO and value chain).
- Opportunities and Threats stem from PESTEL and Five Forces.
- Helps firms assess strategic fit between what they have and what the market needs.
- Useful for scenario planning and strategic prioritization.
- Often used as a summary tool after in-depth analysis.

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SWOT PITFALLS AND BEST PRACTICES

- Avoid generic or superficial entries (e.g., “strength: good product”).
- Align SWOT items with real internal assessments and external scanning tools.
- Use it as a bridge to action plans, not just a diagnostic snapshot.
- Prioritize each quadrant: not all threats or strengths are equal.
- Revisit regularly SWOT is dynamic, not static.

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THE GENERAL ENVIRONMENT

- The general environment is composed of factors that are both hard to predict and difficult to control:
- Demographic.
- Sociocultural.
- Political/Legal.
- Technological.
- Economic.
- Global.

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AMAZON'S EARLY STRATEGIC ASSETS

- Logistics and warehousing (first-mover advantage).
- Customer relationship management systems.
- Proprietary algorithms and recommendation engines.
- Platform-based growth strategy (not just book retailing).
- Reinvestment in tech and people over short-term profits.
- Deep commitment to long-term capability building.

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AMAZON - SWOT CASE

- Strengths: Brand, logistics, platform integration, data.
- Weaknesses: Regulatory scrutiny, worker turnover, thin margins.
- Opportunities: AI, global expansion, sustainability solutions.
- Threats: Antitrust action, cyber risks, rising costs.
- Strategic planning must reconcile internal strengths with external shifts.
- Internal analysis forms the foundation for informed strategic moves.

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FILSON (2004) - E-COMMERCE STRATEGY

- Study of Amazon and early e-commerce rivals.
- Amazon built long-term value through internal capabilities.
- Rivals often lacked robust logistics or innovation capacity.
- Strategic resources enabled Amazon to weather dotcom crash.
- RBV explains why some firms endured while others failed.
- Internal strength determines resilience in turbulent markets.

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ALIGNING INTERNAL CAPABILITIES WITH STRATEGY

- Strategy must be grounded in what the firm does best.
- Internal analysis prevents overextension and misalignment.
- VRIO and value chain findings should guide strategic choices.
- Leaders must continually reassess capability fit with market needs.
- Resource allocation should strengthen differentiating capabilities.
- Internal focus ensures relevance and competitive resilience.

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INTERNAL ANALYSIS IN STRATEGIC PLANNING

- External analysis tells you what's happening in the world.
- Internal analysis reveals what you can actually do about it.
- Tools like VRIO, SWOT, and value chain ensure grounded strategic thinking.
- Dynamic capabilities prepare firms for long-term resilience.
- Alignment of inside-out and outside-in views creates strategic fit.
- Amazon's journey offers a living case study of internal strategy done right.

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THANK YOU